‘satisfy India and help Australia a little’.[32] His support was critical in persuading the US delegation to fix India’s quota at $400 million out of the aggregate final quotas of $8,800 million for all the forty-four countries represented at the conference. The Indian delegation, in a special meeting which it had with Morgenthau on July 14 was informed that India’s quota had been fixed at $400 million on ‘due recognition of India’s economic significance’.[33] China’s quota was reduced to $550 million and India came sixth on the list after the US, the UK, the USSR, China, and France.

Even so the Indian delegation was dissatisfied, as noted by Raisman, not so much with the absolute size of the quota but about ‘her relative position among the countries that form the general set-up of the Fund’ since it was not only a question of the quota but ‘the arrangements relating to the management of the Fund’. A critical moment arose when as reported by Deshmukh, Raisman announced to the rest of the delegation one morning that there was a danger of India’s quota being fixed so low as to imperil the chance of her representation on the governing bodies of the Fund and the Bank even by an elected Executive Director of her own. Deshmukh urged that the Indian delegation withdraw and in this he was supported by Chetty and Shroff. Raisman reacted sharply saying this was another manifestation of the unfortunate Indian tendency to non-cooperate. Half an hour later, he came to Deshmukh and told him that after thinking over the matter he was convinced that in case there was no improvement in the proposed quota for India withdrawal was the only honorable course to take. Deshmukh observed, ‘As a result of his resolute attitude and supported, I am happy to record, by the United Kingdom delegation, India ultimately succeeded in securing her proper quota, which, as events have transpired, secured her a place among the permanent members of the Executive Board for over twenty-five years.’[34] The Indian delegation tried unsuccessfully to increase the number of appointed Directors from five to six. When the USSR decided not to join the Fund, India automatically became one of the five countries entitled to appoint an Executive Director without having to go through the formality of election.

Shroff felt strongly about India not being given a permanent seat on the Executive Board of the IMF and returned to India a disappointed man. In reply to a letter from John M. Wallace, Vice President of the Chase National Bank, New York, he wrote that he had returned from Bretton Woods